

FIG

Figma is the design-native, browser-multiplayer category leader, the only name combining 95%-of-Fortune-500 reach, 40%+ growth re...

Street PT **\$30.56** **+44.7%**

Figma

www.figma.com

FIG

PUBLIC

DRAFT

Updated July 13, 2026 · 4 versions

Collaborative Design Software

Product Development / UI-UX

Productivity SaaS

Creative Tools

9 ANALYSTS · CONSENSUS VIEW		
+44.7% upside to the Street target at 8.2x EV/Rev (LTM)	PRICE	STREET PT
	\$21.11	\$30.56
	EV / REV	VS QQQ
	8.2x	-111pp 1Y
	CONSENSUS	
	Buy	

All trading data as of the **2026-07-10** US market close (yfinance; EV/Rev recomputed from last close × shares + net debt). Figures covering a different window are labeled individually.

FORWARD P/E	EV/REV 52-WK BAND	SHORT INTEREST
64.6x	6.2x-63.7x	44.4%
consensus fwd EPS	price effect only; today's shares, net debt + LTM rev	% of float
NET CASH	SBC % OF REV	
\$1.6B	132.0%	
cash – total debt	LTM, the dilution drag	

WHAT MATTERS	
KEY DEBATE	Does generative AI (Lovable, v0, Claude Design, Stitch) shrink the need for design seats, or does Figma capture that demand through AI credits, while inference costs grind gross margin from ~91% toward ~82%?
NEXT CATALYST	Q2 FY2026 earnings (expected ~August 2026): whether AI-credit monetization keeps NDR elevated and whether gross margin stabilizes against rising inference costs; lockup releases run through mid-2026.

BULL · BASE · BEAR

Bear AI disruption to design (the central debate): generative AI app-builders (Lovable, Vercel v0, Cursor, Google Stitch...	Base STREET \$30.56 (+44.7%) Street consensus Buy, 9 analysts; the \$30.56 target sits +44.7% above the \$21.11 close	Bull AI monetization (credits): Figma Make and Weave plus AI credits opened a new usage-based revenue line that helped re-accelerate growth
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to 46% and drove the FY2026 guidance raise

BUSINESS OVERVIEW

IN ONE SENTENCE

Figma is the browser-based collaborative design platform, like Google Docs for product design, where designers, developers, and whole teams build software interfaces together in real time. NYSE: FIG; ~\$1.2B LTM revenue growing ~46%, now trading well below its hyped July 2025 IPO.

PLAIN ENGLISH

What it does, who pays

- Figma is online software where teams design apps and websites together.
- Everyone edits the same file live in a browser, no installs, no emailing files around.
- Designers, engineers, and managers all work in one shared space.
- It now adds AI tools that turn a text prompt into a working design or prototype.

THE TECHNICAL VERSION

How it actually works

- Browser-native, real-time multiplayer canvas (a custom WebGL/WASM rendering engine).
- Seat-based SaaS across Professional/Organization/Enterprise tiers, billed per editor.
- Dev Mode hands off design specs and code to engineers; AI generation is monetized via consumable credits.
- Growth = more seats per org + multi-product attach, measured by 139% net dollar retention.

EXPLAINED SIMPLY

The analogy

- It's Google Docs, but for designing apps and websites.
- Many people draw on the same digital whiteboard at once, from any browser.
- Now you can also just describe what you want and AI sketches it for you.

KEY TERMS, DECODED

SaaS *Software-as-a-Service*

Software you rent through a browser on a subscription instead of buying and installing it.

NDR *Net Dollar Retention*

How much more (or less) an existing customer cohort spends a year later; 139% means the average customer grew spending 39% with no new logos.

Seat-based

Pricing charged per active editor/user, so revenue grows as more people in a company use the tool.

Dev Mode

Figma's developer view that turns a design into specs and code so engineers can build it accurately.

ARR *Annual Recurring Revenue*

The annualized value of a customer's subscription, Figma reports how many customers exceed \$10K and \$100K ARR.

SBC *Stock-Based Compensation*

Pay given as equity; a real expense that dents GAAP profit and dilutes shareholders, large at Figma right after the IPO.

Multiplayer

Multiple people editing the same file simultaneously in real time, like a shared online document.

- (NYSE: FIG) makes browser-native, multiplayer software for designing digital products.
- Its core product, Figma Design, lets designers, developers, product managers, and marketers collaborate live in the same file from any browser, the 'Google Docs for design' that disrupted desktop incumbents Adobe XD and Sketch.
- The platform has expanded well beyond design canvases into FigJam (online whiteboarding), Dev Mode (design-to-code handoff), Figma Slides (presentations), Figma Sites (web/app builder), Figma Draw, and a fast-growing AI layer, Figma Make (prompt-to-prototype, built on Anthropic's Claude) and Figma Weave (AI media creation, from the ~\$200M October 2025 Weavy acquisition). Co-founded in 2012 by CEO Dylan Field (a Thiel Fellow) and Evan Wallace, Figma is headquartered in San Francisco and serves 95% of the Fortune 500.
- Its defining pre-IPO event was the collapse of Adobe's \$20B acquisition, abandoned in December 2023 over EU/UK antitrust opposition (Adobe paid a \$1B reverse-termination fee). Figma IPO'd on the NYSE on July 31, 2025 at \$33/share, opening at \$85, halted past \$112, closing day one at \$115.50 (+250%), then de-rated severely to near \$20 by the 2026-06-10 close (~\$8.8B market cap) as lockups expired and the market repriced AI risk.

SOURCES: FORTUNE, FIGMA IPO S-1 TAKEAWAYS · CNBC, FIGMA STARTS TRADING ON NYSE · AXIOS, ADOBE AND FIGMA END \$20B DEAL

EXECUTIVE LEADERSHIP

CO-FOUNDER, CEO, PRESIDENT & CHAIR

Dylan Field

Co-founded Figma in 2012 with Evan Wallace; a Thiel Fellow who left Brown. Controls ~75% of voting power via Class B super-voting shares (including Wallace's voting proxy).

CHIEF FINANCIAL OFFICER

Praveer Melwani

Named CFO in June 2022; led Figma's financial operations through the IPO. Has publicly discussed managing AI inference costs via model routing and first-party models.

CHIEF TECHNOLOGY OFFICER

Kris Rasmussen

Leads Figma's technology strategy, engineering scale, platform reliability, and infrastructure.

CHIEF PRODUCT OFFICER

Yuhki Yamashita

Leads Figma's product organization across Design, FigJam, Dev Mode, Sites, Make, and the AI product suite.

PRODUCT & REVENUE MODEL

- Figma sells seat-based, tiered SaaS subscriptions across Professional, Organization, and Enterprise plans, billed per editor.
- Its land-and-expand engine starts with designers and spreads to developers (via Dev Mode) and non-designers (PMs, marketers, sales), roughly two-thirds of users are not professional designers, driving high net dollar retention (139% in Q1 FY2026, its highest in over two years). Growth comes from more seats per organization plus multi-product attach (FigJam, Slides, Sites, Make, Weave) and a newer AI-credit monetization model where customers consume credits for AI generation.
- Figma is highly profitable on a non-GAAP basis (16% non-GAAP operating margin and 27% FCF margin in Q1 FY2026) with a historically ~91% non-GAAP gross margin, though gross margin has compressed to ~82% as AI inference/compute costs scale with usage, the single most-watched line in the model.
- The customer base is broad and enterprise-anchored: ~690,000 paid customers, 15,218 with >\$10K ARR, and 1,525 with >\$100K ARR as of March 31, 2026, with 95% of the Fortune 500 on the platform.

SOURCES: FIGMA Q1 2026 RESULTS (SEC 8-K) · FORTUNE, FIGMA IPO S-1 TAKEAWAYS

RECENT NEWS

2026-07-07	Figma acquires team behind a vibe-coding app (Bud), expanding platform from design into agentic coding and prototyping SOURCE: TECHCRUNCH Acquiring the Bud (Y Combinator-backed AI app/agent builder) team extends Figma's platform from collaborative design into agentic coding and rapid prototyping, reinforcing the AI-as-growth-catalyst thesis and reducing the perceived threat from AI coding tools by bringing them in-house.
2026-07-07	BofA resumes Figma coverage at Buy with \$30 price target, citing AI as structural growth catalyst for design-to-dev platform SOURCE: SEEKING ALPHA BofA (analyst Tal Liani) resumed coverage at Buy at 8× CY27 EV/Sales, arguing AI is a tailwind rather than a headwind for Figma's platform; shares rose ~6% on the reinstatement, signaling institutional re-rating momentum ahead of Figma's post-IPO growth phase.
2026-06-24	Figma adds code layers, animations, and AI features in new update SOURCE: TECHCRUNCH Figma deepened its design-to-code capabilities with code layer support, animation, and AI-powered plugin generation, strengthening its platform moat against Framer and Adobe in the design-to-dev handoff market.

2026-05-14	Figma Q1 FY2026 revenue re-accelerates to +46% (\$333.4M); NDR 139%; stock jumps ~13% SOURCE: FIGMA Q1 2026 RESULTS (SEC 8-K) Growth re-accelerated and net dollar retention hit a two-year high on AI-credit monetization, prompting a \$55M FY2026 guidance raise, the first clear signal AI is a net tailwind to revenue, though gross margin fell to ~82% on inference costs.
2026-02-18	Figma posts Q4 FY2025 revenue of \$303.8M (+40%); full-year tops \$1B (+41%), NDR 136% SOURCE: FIGMA FY2025 RESULTS (SEC 8-K) The first full fiscal year as a public company crossed the \$1B revenue mark with 40%+ growth and a 91% non-GAAP gross margin, confirming the growth-and-profitability story even as the stock stayed well below IPO levels.
2025-11-05	Figma's first earnings since IPO: Q3 revenue +38% to \$274.2M; stock falls as lockups loom SOURCE: FIGMA Q3 2025 RESULTS (SEC 8-K) The first print as a public company showed growth decelerating from IPO-era rates and a ~\$975.7M one-time IPO-related stock-comp charge, driving a large GAAP loss and stoking the de-rating as lockup releases enabled insider selling.
2025-10-28	Figma acquires Israeli AI startup Weavy for ~\$200M, rebrands as Figma Weave SOURCE: FIGMA BLOG, WELCOME WEAVY TO FIGMA Adds AI image/video/animation generation to the platform, extending Figma beyond static design into media creation and signaling an aggressive M&A push to stay ahead of generative-AI rivals.
2025-07-31	Figma's IPO triples on day one, closes at \$115.50 (+250%) after pricing at \$33 SOURCE: CNBC Priced above its raised \$30-32 range at \$33 and raised ~\$1.2B; the largest first-day pop in 30 years for a \$1B+ US IPO, valuing Figma near \$50B intraday, the high-water mark the stock has since fallen far below.

FINANCIALS & KEY METRICS

Reporting period: Q1 FY2026 (ended March 31, 2026); reported May 14, 2026. Each metric is tagged with the period it covers; LTM and as-of figures are labeled individually.

REVENUE

\$333.4M

▲ +46% YoY

Q1 FY2026

FREE CASH FLOW

\$88.6M

Q1 FY2026; FCF margin 27%

NET DOLLAR RETENTION

139%

Q1 FY2026

NON GAAP OPERATING INCOME

\$52.1M / 16% margin

Q1 FY2026

NON GAAP GROSS MARGIN

~82%

Q1 FY2026

GAAP NET LOSS

~\$

142

Q1 FY2026

PAID CUSTOMERS

~690,000

▲ +54% YoY

AS OF MARCH 31, 2026

CUSTOMERS OVER 100K
ARR

1,525

▲ +48% YoY

AS OF MARCH 31, 2026

SEGMENT DETAIL, BOOKINGS & GUIDANCE

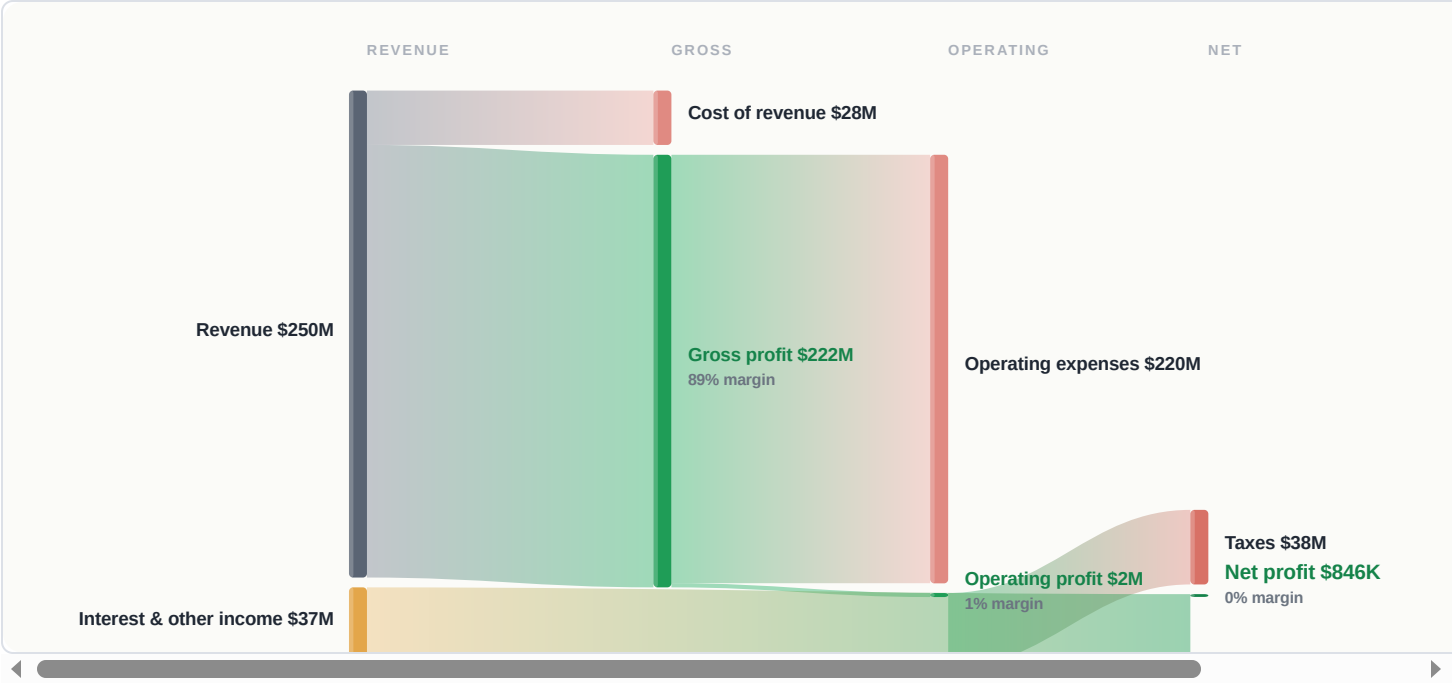
Revenue Guidance

\$1.422-1.428B

Non GAAP Op Income Guidance FY2026 GUIDANCE

\$125-135M

INCOME STATEMENT FLOW · Q2 FY2025

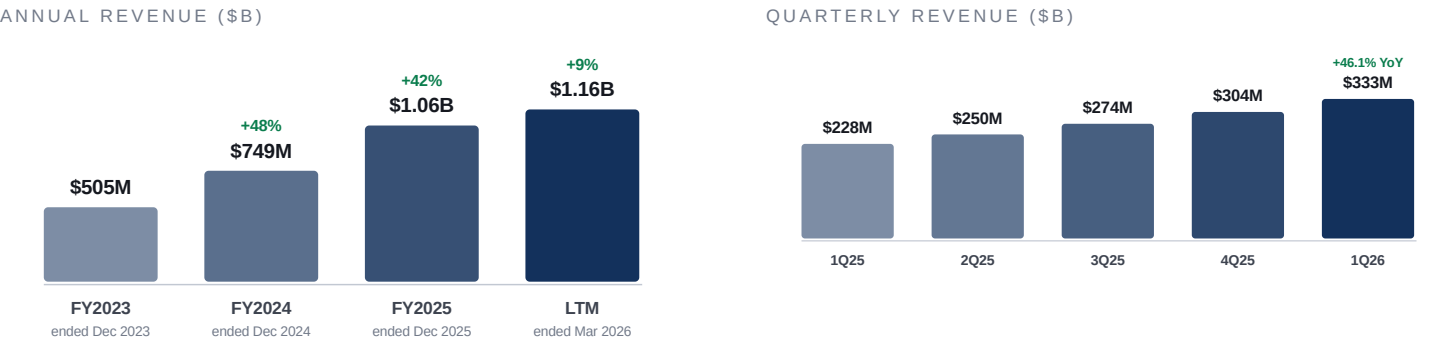


Source: yfinance income statement. Green = profit kept · salmon = costs · amber = non-operating. Margins shown as % of revenue.

- **AI / Product:** Management framed AI as the growth accelerant: NDR jumped to 139% on stronger-than-expected seat expansion plus early AI-credit monetization from Figma Make, Figma Weave, and an MCP server. The flip side is cost, CFO Praveer Melwani attributed the ~3.8pt QoQ gross-margin decline (to ~82%) to broader, deeper AI adoption and users reaching for higher-capability models, and said Figma optimizes gross-profit dollars (not a margin target) via model routing and first-party models trained on its design corpus.
- **Demand:** Demand was broad-based: revenue growth re-accelerated to 46% with international revenue +48% YoY, driven by seat expansion across entire organizations as design's role grows and AI products attach. Paid customers rose 54% YoY to ~690,000; the high-value \$100K+ ARR cohort grew 48%. Figma raised full-year guidance on AI-monetization traction and core-platform strength, the first clear data point that, at least so far, AI is a net tailwind to Figma's revenue rather than a seat-killer.

SOURCE: FIGMA Q1 2026 RESULTS (SEC 8-K)

REVENUE TRAJECTORY



SOURCES: SEC EDGAR (as reported, FY2025 10-K) · yfinance / Yahoo Finance (live pull, 2026-06-10 close)

LAST 5 QUARTERS

	1Q25	2Q25	3Q25	4Q25	1Q26
REVENUE	\$228M	\$250M	\$274M	\$304M	\$333M
YOY					+46.1%
QOQ		+9.4%	+9.8%	+10.8%	+9.8%
GROSS MARGIN	91.5%	88.8%	69.4%	82.1%	79.4%

SOURCE: yfinance / Yahoo Finance (quarterly income statement) · calendar-quarter labels on fiscal period-ends; gross margin = gross profit / revenue. Most recent quarter (1Q26): 46.1% YoY revenue growth.

KEY RISKS & DEBATES

- ! AI disruption to design (the central debate): generative AI app-builders (Lovable, Vercel v0, Cursor, Google Stitch, Anthropic's Claude Design) could let non-designers ship interfaces without traditional design seats. The bull case is that AI expands the market and Figma monetizes it via credits; the bear case is seat compression, rival AI launches have repeatedly dinged the stock 5-10% in a day.

- !

AI inference cost / gross-margin compression: gross margin fell to ~82% in Q1 FY2026 from a historical ~91% as AI adoption deepens; management manages gross-profit dollars (not a margin target) but warns inference costs could keep pressuring margins as usage scales.
- !

Post-IPO valuation reset & lockup overhang: after a +250% day-one pop to ~\$115, the stock has de-rated to roughly \$20 (below the \$33 IPO price); staggered lockup releases through mid-2026 (an extended lockup covers ~54% of Class A shares) plus insider selling have weighed on the stock.
- !

Competition from incumbents and adjacents: Adobe (still dominant in creative and motivated after the failed deal) and Canva (mass-market, AI-forward) pressure Figma from the high and low ends, alongside a widening front of AI codegen tools.
- !

Stock-based compensation & dilution: a ~\$975.7M one-time IPO-related SBC charge drove a large GAAP loss; ongoing SBC keeps GAAP profitability negative and dilutes shareholders, a recurring bear talking point.
- !

Founder control via dual-class structure: CEO Dylan Field holds ~75% of voting power through super-voting Class B shares, concentrating control and limiting public-shareholder governance influence.

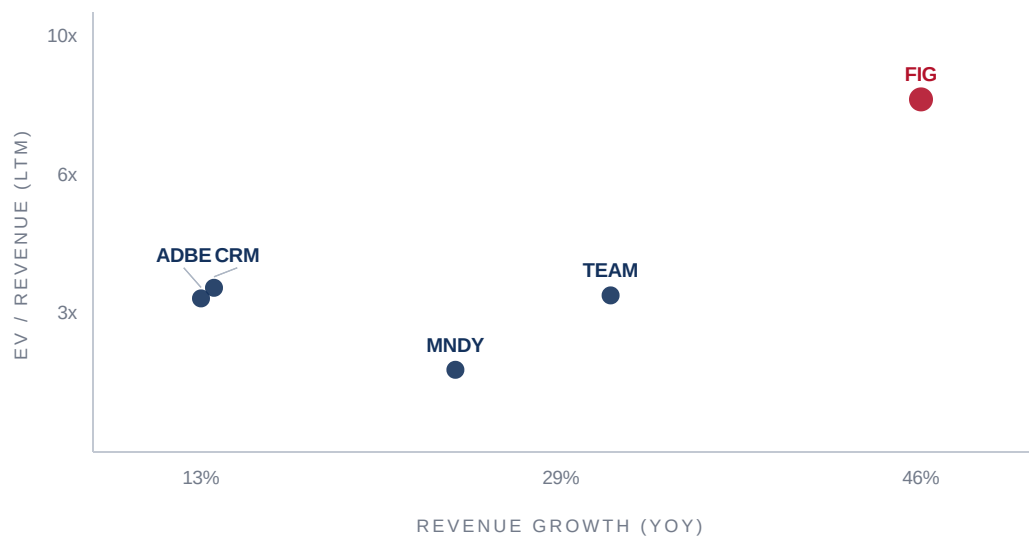
SOURCES: FORTUNE, DUAL-CLASS STRUCTURE / FIELD VOTING CONTROL · FIGMA Q1 2026 RESULTS (SEC 8-K)

COMPARABLE COMPANIES

COMPANY	TICKER	TYPE	MKT CAP	EV / REV LTM	REV GROWTH YoY	GROSS MARGIN	FCF MARGIN LTM	RULE OF 40 growth + FCF
Figma subject; design-native category leader re-accelerating to 46% growth with 139% NDR; trading at a live EV/Rev multiple below its IPO level on AI-disruption fears	FIG	Subject	\$11.2B	8.2x	46.1%	79.8%	70.1%	116
Salesforce broad enterprise-SaaS benchmark for scaled, profitable software; far larger and slower-growing, framing Figma as a still-early, premium-growth name versus mature platform peers	CRM		\$133.8B	3.8x	13.3%	77.6%	38.6%	52
Atlassian closest collaboration-software comp by motion (bottoms-up, seat/usage-led expansion across software teams), but dev-workflow-centric rather than design-centric	TEAM		\$22.5B	3.7x	31.7%	84.8%	25.5%	57
Adobe the incumbent Figma displaced and tried (and failed) to buy for \$20B; far larger and more profitable but slower-growing, Figma is the higher-growth, design-native challenger	ADBE		\$88.9B	3.6x	12.7%	89.4%	36.6%	49
monday.com another high-growth, seat-based collaboration-SaaS comp with strong NDR; a growth-and-margin yardstick, though work-management rather than the design layer	MNDY		\$3.5B	1.9x	24.5%	89.1%	19.1%	44

COMPANY	TICKER	TYPE	MKT CAP	EV /	REV	GROSS	FCF	RULE OF
				REV	GROWTH		MARGIN	
				LTM	YoY	MARGIN	LTM	40
								growth +
								FCF
Peer median	EX-SUBJECT			3.6x	18.9%	86.9%	31.1%	50

GROWTH VS MULTIPLE



SOURCES: Public-ticker multiples pulled live from [yfinance](#) / [Yahoo Finance](#), as of the 2026-07-10 market close; EV/Rev recomputed from last close × shares + net debt. Rev Growth (YoY), Gross Margin, and FCF Margin reflect each company's most recent reported quarter / LTM, so their as-of periods differ by company and from the price close above. Rule of 40 = revenue growth + FCF margin. **Figma trades at 8.2x vs a 3.6x peer median, a 127% premium to the median.**

SWOT ANALYSIS

How Figma stands out: Figma is the design-native, browser-multiplayer category leader, the only name combining 95%-of-Fortune-500 reach, 40%+ growth re-accelerating to 46%, 139% NDR, and a historically ~91% gross margin, now testing whether AI is the seat-killer bears fear or the new monetization engine the latest print suggests. It trades at a live EV/Rev multiple (see comps table) (2026-06-17 close), a premium to slower-growing Adobe (~3.8x) but well off its IPO valuation.

STRENGTHS

INTERNAL EDGE

- **Collaboration moat & network effects:** Browser-native multiplayer makes Figma the shared workspace for designers, developers, and non-designers; switching costs rise as whole orgs standardize on it (95% of the Fortune 500).
- **Best-in-class expansion:** 139% net dollar retention (Q1 FY2026, a two-year high) with the \$100K+ ARR cohort up 48% YoY, proof the land-and-expand engine compounds.
- **Premium unit economics:** A historically ~91% non-GAAP gross margin with 16% non-GAAP operating margin and 27% FCF margin, genuinely profitable on an adjusted basis, rare for a 40%+ grower.

WEAKNESSES

INTERNAL GAP

- **AI-driven gross-margin compression:** Gross margin fell to ~82% in Q1 FY2026 on AI inference costs; the higher-capability models customers want are expensive, and management won't commit to a margin floor.
- **Deep GAAP losses & SBC:** A ~\$975.7M one-time IPO stock-comp charge and ongoing SBC keep GAAP profitability negative and dilute holders.
- **Concentrated founder control:** Dual-class shares give CEO Dylan Field ~75% of votes, limiting public-shareholder governance leverage.

OPPORTUNITIES

EXTERNAL UPSIDE

- **AI monetization (credits):** Figma Make and Weave plus AI credits opened a new usage-based revenue line that helped re-accelerate growth to 46% and drove the FY2026 guidance raise.
- **Beyond designers:** Two-thirds of users aren't pro designers; Dev Mode, Slides, Sites, and Buzz expand seats into engineering, PM, and marketing across the org.
- **International runway:** International revenue grew 48% YoY in Q1 FY2026, a large under-penetrated base.

THREATS

EXTERNAL RISK

- **AI app-builders:** Lovable, Vercel v0, Cursor, Google Stitch, and Anthropic's Claude Design could compress design-seat demand; their launches have repeatedly dropped FIG 5-10% in a day.
- **Adobe & Canva:** A motivated Adobe and a mass-market, AI-forward Canva pressure Figma from the high and low ends of the design market.
- **Valuation / lockup overhang:** The post-IPO de-rating to ~\$20 (below the \$33 IPO price) plus staggered lockup releases through mid-2026 keep technical selling pressure on the shares.

SOURCES: FIGMA Q1 2026 RESULTS (SEC 8-K) · YFINANCE / YAHOO FINANCE, LIVE COMPS (2026-06-10 CLOSE)

PRIMARY FILINGS (SEC EDGAR)

8-K	filed 2026-06-04 · period 2026-06-02	View on EDGAR ›
10-Q	filed 2026-05-14 · period 2026-03-31	View on EDGAR ›
8-K	filed 2026-05-14 · period 2026-05-14	View on EDGAR ›
10-K	filed 2026-02-18 · period 2025-12-31	View on EDGAR ›
10-Q	filed 2025-11-05 · period 2025-09-30	View on EDGAR ›

SOURCE: SEC EDGAR · CIK 0001579878 · primary filings of record.

SLIDE-READY BULLETS

- 1 Design-native category leader: Q1 FY2026 revenue re-accelerated to +46% (\$333.4M) with 139% net dollar retention (a two-year high) and 95% of the Fortune 500 on the platform.
- 2 The IPO arc is the story: priced at \$33 on July 31, 2025, popped +250% to \$115.50 day one (biggest 30-year first-day pop for a \$1B+ US IPO), then de-rated ~80%+ to ~\$20 (below the IPO price) as lockups expired and AI risk was repriced.
- 3 AI is now a net revenue tailwind, at a cost: Figma Make/Weave and AI credits helped re-accelerate growth and lift guidance, but non-GAAP gross margin slipped to ~82% (from ~91%) on inference costs, the most-watched line in the model.
- 4 Premium unit economics: a historically ~91% non-GAAP gross margin with 16% non-GAAP operating margin and 27% FCF margin, genuinely profitable on an adjusted basis for a 40%+ grower.
- 5 Key debate: do AI app-builders (Lovable, v0, Claude Design, Stitch) shrink design-seat demand, or does Figma capture it via credits? The stock trades at ~6.2x EV/Revenue (as of the 2026-06-10 close), a premium to Adobe on faster growth but far below its IPO mark.

SMART DILIGENCE QUESTIONS

- Q1 Is AI net additive or dilutive to Figma's economics? How much of the 139% NDR and the guidance raise is AI-credit revenue versus core seat expansion, and what is the gross-margin trajectory as inference scales, does AI add high-margin dollars, or does it grind the ~91% historical gross margin toward the low 80s and below?
- Q2 How real is the seat-compression threat? What evidence is there that AI app-builders (Lovable, v0, Claude Design, Stitch) are displacing Figma seats versus expanding the non-designer user base, and what is Figma's defensible role (system of record, collaboration, governance) once anyone can prompt a UI?
- Q3 What does the post-lockup share supply and SBC trajectory mean for the stock? With ~54% of Class A under an extended lockup releasing through mid-2026, ongoing IPO-related SBC, and dual-class founder control, how much technical overhang and dilution should a buyer underwrite before the fundamentals are reflected in the price?

Sources: Company IR, earnings transcripts, Bloomberg, SEC filings, Sacra, Crunchbase, yfinance
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ATLAS